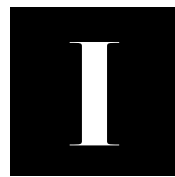


AD MAP



IN THE AFTERMATH of the outbreak of the Covid-19 pandemic and the resultant lockdowns, the Indian government stepped up capital expenditure, especially on infrastructure. This was not just prompted by the immediate need to shore up the domestic economy, cushioning it against the inevitable crash in economic activity, but the government also spotted an opportunity to address gaps in the country's infrastructure.

This increase in government spending is apparent in the gross domestic product (GDP) data for the second quarter of FY24 (Q2FY24). Growth in the bellwether of investments, gross fixed capital formation (GFCF), was at a five-quarter high of 11% year-on-year. Meanwhile, government spending rose by a 10-quarter high of 12.4%, thanks to the focus on capital expenditure. Besides, the investment rate, measured as the nominal GFCF-to-GDP, rose to 30% in Q2 from 29.1% a year ago.

The central government is estimated to spend about ₹23.3 lakh crore as capital expenditure between FY22 and FY24, including the outlay of ₹10 lakh crore this fiscal. Thanks to this increase in

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S U P P O R T



RENEWABLE ENERGY, URBAN INFRASTRUCTURE NEW FOCUS AREAS



MORE MEASURES FOR INFRA INVESTING ALSO NEEDED



LAST-MILE CONNECTIVITY REQUIRED FOR BETTER LOGISTICS